

Budget with Intentionality

Just to make sure we're all on the same page, let me clarify what a budget is. It's simply a spending plan, a way to track all the money coming in and all the money going out in a month. It can be as simple as a sheet of paper or as complex as a multipage spreadsheet. Or you could use an online budgeting tool and mobile app to create and track your spending. There are several of those available, but my personal favorite is EveryDollar at www.everydollar.com. Whatever format you use, the goal is the same. You want to plan for the month ahead by writing down everything you need to spend money on and making sure your monthly income will cover it all. This is how you can emulate the millionaire behavior of living on less than you make. If you don't know how much you have coming in and how much you have going out, you'll never know if you're overspending—especially if you're spending blind by using a credit card.

While creating a monthly budget is absolutely vital, your work isn't done once you've got the plan on the page. The next step is just as important: you have to stick to the plan. Again, that's what millionaires do. Remember, 93% of millionaires stick to the budgets they create, compared to 77% of the general population. These people take the time to make a plan, but then they throw it out the window with impulse purchases and lazy spending. Why even bother? That's like programming your GPS when you get in the car and then throwing it in the back seat when you put the car in drive. It just doesn't make sense. Because of their dedication to sticking to the budgets they make, almost none of the millionaires we studied (96%) have ever had a past-due bill. They pay their bills on time because they know when they're due and how much they are, and they've accounted for that on their spending plan. The budget gives them built-in accountability and keeps them on track.

Also, don't miss the fact that these millionaires stick to their budgets *even though they can afford anything they want*. I didn't say 93% used to